

1.2 Spotting a business opportunity

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank for this topic

Each question is fully self-contained: case-study extract + data tables + question text + mark scheme answer. Print and revise without needing the original papers.

- **Total questions:** 38
- **Total marks:** 109
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 6 questions
- **June 2019:** 6 questions
- **Nov 2020:** 7 questions
- **Nov 2021:** 5 questions
- **June 2022:** 3 questions
- **June 2023:** 7 questions
- **June 2024:** 4 questions

1.2.1 Customer needs (7 questions)

Specimen SAMs · Paper 1 · Q2(b) · \$A

MCQ

2 marks

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

Which two of the following are examples of services?

- A. Train journey
- B. Magazine
- C. Headphones
- D. Haircut
- E. Mobile phone

MARK SCHEME ANSWER

A, D

DATA FOR QUESTION 3

Figure 1 shows information about the financial performance of a business from January to March.
 January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March:
 Revenue £10 000, Total costs £12 000.

Explain one benefit to a small business of understanding customer needs.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. One benefit to a small business of understanding customer needs is that it can set a suitable price (1). This means customers are more likely to buy the product (1). This will generate more revenue for the business (1). The small business can develop the quality of the product to meet customer needs (1). This means the business can gain a competitive advantage (1), which allows the business to gain a larger market share (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

Outline one way that Sports Tours Ltd meets customer needs.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable way for Sports Tours Ltd to meet customer needs. Award a maximum of 1 mark if points are not linked.

Sports Tours Ltd offer its customers a choice of products (1). This includes tours in sports such as football, rugby, hockey and netball (1).

Sports Tours Ltd ensure the tours are high quality (1). It carries out full risk assessments for all tours. (1).

Do not accept a way that would not be appropriate for Sports Tours Ltd.

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Which two of the following are examples of a service?

- A. Birthday cake
- B. Fitness class
- C. Mobile phone
- D. Newspaper
- E. Train journey

MARK SCHEME ANSWER

The only correct answers are B – Fitness Class and E – Train journey. A is not correct because it is an example of a product. C is not correct because it is an example of a product. D is not correct because it is an example of a product.

DATA FOR QUESTION 2

Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

Which two of the following are examples of customer needs? Select two answers.

- A. Choice
- B. Profit
- C. Quality
- D. Risk
- E. Taxation

MARK SCHEME ANSWER

The only correct answers are A – Choice and C – Quality. B is not correct because it is not a customer need. D is not correct because it is not a customer need. E is not correct because it is not a customer need.

CASE STUDY EXTRACT

Extract B: Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying Ripple to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but Ripple claims that it can supply energy cheaper than its competitors. The process of becoming a member is very simple. Firstly, Ripple will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. Ripple manages the wind farm and provides energy to each customer's home or business. Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

DATA FOR QUESTION 7

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019. 2018: Gas 39.4%, Renewables 33.3%, Nuclear 19.5%, Coal 5.0%, Oil 2.8%. 2019: Gas 40.6%, Renewables 37.1%, Nuclear 17.3%, Coal 2.2%, Oil 2.8%.

Outline one benefit to customers from Ripple asking questions to identify its customer needs.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to customers of Ripple. Award a maximum of 1 mark if points are not linked. Customers will receive the correct green energy plan (1). This will make sure they receive the correct amount of energy for their needs (1). Customers will invest the correct amount of money into the wind farm (1). This will lead them to get the best return on their money (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

Analyse the importance to Adikoggz of identifying customer needs.

MARK SCHEME ANSWER

Indicative content: It is important to identify what price customers are willing to pay for trainers to be cleaned or customised (AO2). Keilan has to select popular football teams and music bands to base his customisations on (AO2). Customers may not be willing to pay £20 to get their trainers cleaned and it may not be profitable for Keilan to charge any less than this. To be successful he needs to find a price that customers feel offers value for money but also allows him to make a profit (AO3a). This will offer more choice to customers. If he selects football teams and music bands that have a lot of fans, then Adikoggz stands a better chance of attracting customers and meeting their needs (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application with some inconsistencies. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

1.2.2 Market research (10 questions)

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

Which two of the following are examples of primary market research?

- A. Internet research
- B. Market reports
- C. Customer survey
- D. Government statistics
- E. Focus group

MARK SCHEME ANSWER

C, E

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

Explain one disadvantage to a small business of using qualitative data for market research.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Responses are based on a person's opinions (1). This means they can be very varied (1) therefore making it difficult to make a judgement on customer preferences (1). Qualitative data is mostly non-numeric (1). This makes it difficult to analyse the data (1). This can mean it is difficult to make decisions based on this data (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 6

Last Course Patisserie case study. The new head chef carried out secondary market research to identify information about the food market.

State one benefit to Last Course Patisserie of conducting secondary market research.

MARK SCHEME ANSWER

Award 1 mark for stating one benefit to Last Course Patisserie of conducting secondary market research. Research into food purchases has already been carried out thus saving time (1). It is more convenient as it can be difficult finding customers with in rural areas such as Devon (1). Sources such as the government provide validated information on amount of money households spend on food (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for Last Course Patisserie. For example, Last Course Patisserie could use secondary research to fully understand customer needs.

DATA FOR QUESTION 2

Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

Which two of the following are examples of secondary market research?

- A. Focus group
- B. Internet
- C. Market report
- D. Observation
- E. Survey

MARK SCHEME ANSWER

The only correct answers are B - Internet and C - Market report. A is not correct because it is a method of primary market research. D is not correct because it is a method of primary market research. E is not correct because it is a method of primary market research.

Which one of the following could be used to identify customer needs?

- A. Business idea
- B. Business objectives
- C. Market research
- D. Marketing mix

MARK SCHEME ANSWER

C - Market research

DATA FOR QUESTION 2

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Explain one disadvantage to a small business of using a focus group to collect market research data.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

Focus groups can be expensive to arrange (1). A business may have to pay people to participate in the focus group (1). This will lead to an increase of market research costs for a small business (1).

The moderator can influence the responses of the participants (1). This is because they may have pre-conceived ideas of what they want outcomes to be (1). This can therefore lead to bias in the outcomes of the focus group (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

DATA FOR QUESTION 6

Little Movers is considering two options to carry out market research for possible new franchises in Poland: Option 1: internet research to identify competitors in Poland; Option 2: conducting focus groups with parents living in Poland.

Justify which one of these two options Little Movers should choose.

MARK SCHEME ANSWER

Indicative content: Internet research to find out about dance schools is cheap and convenient to carry out (AO2). Focus groups could be used to ask specific questions to parents on the types of services they want for their children (AO2). There will be a wide number of websites that can be used to check if there are similar business that offer pre-school classes in Poland. This can be used to see if there is a lot of competition in the market or if a gap in the market exists (AO3a). This will allow Melanie to see if her existing franchise model would work in Poland, or if it will need to adapt to suit the new market. Pre-school age groups may be different in other countries (AO3a). However, the reliability and language barriers of internet research can be an issue. The websites of the dance schools may be out of date and do not give any indication whether the business is successful or not (AO3b). However, this would be more expensive than secondary research as she will have to take more time to conduct the research. She will also have to travel to Poland. This leaves less time to prepare new lesson plans for the franchises in the UK (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement,

providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2023 · Paper 1 · Q1(a) · §A

MCQ

1 marks

Which one of the following could market mapping be used for? Select one answer.

- A. Identifying how many customers there are in a market
- B. Identifying how many employees work in a business
- C. Spotting where there is a gap in the market
- D. To identify the location of a business

MARK SCHEME ANSWER

The only correct answer is C – Spotting where there is a gap in the market. A is not correct because it is not identified using a market map. B is not correct because it is not identified using a market map. D is not correct because it is not identified using a market map.

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 5

Table 2 shows forecasts from the business plan for month one of Lili Heating Ltd. Cash inflows: £8 600; Cash outflows: £11 000; Opening balance: £4 000.

Analyse the impact on Lili Heating Ltd of using the internet to collect secondary market research.

MARK SCHEME ANSWER

Indicative content: Using the internet as a source of secondary market research is a fast and convenient way to discover how many females live in Birmingham (AO2). The internet will not provide focused information to let Amelia know if there will be enough demand for her plumbing and building services (AO2). Although she knows how many females live in Birmingham, it would be difficult to find out how many of them own a property or would want a female plumber to work in their homes (AO3a). Lili Heating Ltd will be in competition against other established plumbers. Amelia will need to spend more time developing her target market to make sure there are enough potential customers (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

DATA FOR QUESTION 2

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

Which two of the following could be used to collect secondary market research?

- A. Focus group
- B. Internet
- C. Market reports
- D. Observation
- E. Survey

MARK SCHEME ANSWER

The only correct answers are B - Internet and C - Market reports. A is not correct because it is a primary research method. D is not correct because it is a primary research method. E is not correct because it is a primary research method.

1.2.3 Market segmentation (6 questions)

Explain one way a small business could use market segmentation to target customers.

MARK SCHEME ANSWER

Award 1 mark for identification of one way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could use market segmentation by using gender (1). Different products can be targeted to customers depending on if they are male or female (1). This will lead to a business being able to meet the needs of those particular customers (1). A small business could segment a market using income (1). People with a higher level of income are more likely to buy luxury goods (1). This means a business could develop a higher quality product to target these customers (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

DATA FOR QUESTION 6

To expand its business in response to the growth in the cycling market, On Your Bike is considering two options: Option 1: open a second shop. Option 2: start to use e-commerce on its website.

State one market segment that On Your Bike has targeted.

MARK SCHEME ANSWER

Award 1 mark for stating one market segment targeted by On Your Bike. Children (or their parents) buying first cycles or scooters (1). Cycling enthusiasts interested in mountain biking (1). Tourists looking to rent cycles whilst on holiday (1). Accept any other appropriate response. Do not accept market segments that would not be appropriate for On Your Bike. For example, low income groups as the average price of bikes is £550.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

DATA FOR QUESTION 5

Sports Tours Ltd has been organising football tours to Munich, Germany since 2010. The price of a hotel room in Munich in 2010 was EUR100. Table 2 shows the value of the pound (GBP) in euros (EUR) in June 2010 and June 2019. June 2010: 1.23 EUR per GBP. June 2019: 1.13 EUR per GBP.

Analyse the impact on Sports Tours Ltd of using market mapping to target customers.

MARK SCHEME ANSWER

Indicative content: Market mapping allows Sports Tours Ltd to spot gaps in the market where tours can be offered to groups of customers that are interested in different sports such as netball and hockey (AO2). Market mapping may identify a gap that exists because there is not enough demand in this sport or type of tour. This could lead to Sports Tours Ltd targeting a market that does not exist (AO2). This will allow the business to reach a wider range of customers because it is not specialising in just one sport. There is a wide range of team sports played in the UK (AO3a). There are some minority sports where there will not be enough teams to organise fixtures. If Sports Tours Ltd targets these markets then it may lead to business failure (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Which one of the following could be used to identify a market segment?

- A. Demographics
- B. Inflation
- C. Marketing mix
- D. Revenue

MARK SCHEME ANSWER

The only correct answer is A – Demographics. B is not correct because it is an impact of the economic climate. C is not correct because it is the marketing decisions made by a business. D is not correct because it is the income derived from sales.

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 5

Table 2 shows forecasts from the business plan for month one of Lili Heating Ltd. Cash inflows: £8 600; Cash outflows: £11 000; Opening balance: £4 000.

ADDITIONAL INFORMATION

As part of her market research Amelia collected quantitative research from the Birmingham City Council website. Table 3 shows the 2019 Population by five-year age groups for Birmingham. Age 30–34: Males 41,500, Females 41,200, Total 82,700. Age 35–39: Males 37,600, Females 38,600, Total 76,200. Age 40–44: Males 33,300, Females 33,700, Total 67,000. Age 45–49: Males 33,000, Females 33,700, Total 66,700. Age 50–54: Males 32,000, Females 33,500, Total 65,500.

Using the information in Table 3, calculate to 2 decimal places, the percentage of people in the age group 45–49 that are female. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(33,700 \div 66,700) \times 100$ (1). Answer: 50.52% (1). Award full marks for correct numerical answer without working.

Which one of the following is a way of segmenting a market?

- A. Cost
- B. Income
- C. Media
- D. Profit

MARK SCHEME ANSWER

The only correct answer is B - Income. A is not correct because it is not a way of segmenting a market. C is not correct because it is not a way of segmenting a market. D is not correct because it is not a way of segmenting a market.

1.2.4 The competitive environment (15 questions)

Explain one benefit to a business of using a market map.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit, up to a total of 3 marks. The market map will help to identify key features of competitors (1), which allows the business to spot a gap in the market (1) so they can focus on features to make themselves different (1). A market map can help a business make decisions about its products (1) so that the features of the products are different from their competitors (1), which makes it likely that they will get more customers (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a business of operating in a competitive environment.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There will be a lot of competitors (1). Therefore the business may have to charge a lower price (1). This may mean that the business does not generate as high a profit (1). Competitors put pressure on a business to provide a high-quality product (1). If it does not do this, customers will choose one of the rivals (1). As a result of this, sales and revenue are likely to fall (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but.....' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

DATA FOR QUESTION 5

As a result of the queues in the shop, Neil and Sue have decided to implement a contactless payment system at Meringue.

Outline one impact on Meringue of lengthy queues as customers wait to pay.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact of lengthy queues on Meringue. Award a maximum of 1 mark if points are not linked. Long queues may lead to customers not returning to Meringue (1), preferring to visit competing cafes where paying for food is more efficient (1). Long queues may deter customers who are passing and look into the cafe (1), which may mean that they go elsewhere and Meringue loses potential sales (1). Do not accept impacts that would not be appropriate for the context of a small town centre bakery and cafe such as Meringue, for example going to another branch.

CASE STUDY EXTRACT

Extract B: Sally is a fitness instructor at a local sports centre (Figure 4). She is now considering setting up her own business as a personal trainer (Figure 5). Sally's research shows that people are more interested in health and fitness. Although there are a number of gyms in her local area, there are not many personal trainers. Sally has conducted some research into who her main competitors will be. A summary of the research is shown in Figure 6. Sally will charge £25 per hour. She is flexible in terms of the location of her customers and will travel within a 10-mile radius. She hopes to attract a younger market segment by using social media and online promotion. She aims to differentiate her service in a number of ways: Using social media to communicate directly with her customers, offering daily motivational reminders. Filming parts of the customer's training session and posting it online for them to evaluate their performance on their own device. Figure 6: Competitor 1: 'Vitality' personal instructor, £22 per hour, Strength: Experienced personal trainer with good local reputation, Weakness: Operates in only a small geographical area. Competitor 2: 'Bootcamp' personal trainer, £220 for an 11-session block, Strength: Ex-soldier using military training methods, Weakness: Limited number of training methods used. Sally is currently well paid and has saved up enough money to start up on her own. She is considering buying a franchise. There are a number of national franchise operators that she could use. However, she is concerned about the current economic climate. She has seen reports that unemployment is rising and that consumer incomes are falling.

DATA FOR QUESTION 7

Sally is considering whether or not to buy a franchise to start up on her own.

Identify which of Sally's competitors is the most expensive per hour.

MARK SCHEME ANSWER

Competitor 1: 'Vitality' personal instructor

CASE STUDY EXTRACT

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion. Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition. Customer service has always been an important part of Aphrodite's success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website. A new opportunity was created when the shop premises next to Aphrodite became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this. Figure 2 shows information about interest rates that might help them when making their decision. UK Interest Rate from Jan-08 (5.00%) falling to 0.50% by Jan-09 and remaining around 0.25% until Jan-16.

DATA FOR QUESTION 7

Aphrodite case study. Table 3 shows the value of the pound (£) in euros (€) from June to September. June: 1.13; July: 1.11; August: 1.09; September: 1.14.

ADDITIONAL INFORMATION

Aphrodite case study (clothes shop with range of stock from well-known brands and new designers).

Outline one reason why Aphrodite's range of stock could give it an advantage over its competitors.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a reason why Aphrodite's range of stock gives it an advantage. Award a maximum of 1 mark if points are not linked. Aphrodite can stock a range of clothes that no other shop has (1). This will attract customers who like buying new fashion (1). New designers may offer special discounts to Aphrodite to stock their clothes (1). This gives Aphrodite a cost advantage over competition (1). Do not accept a reason that would not be appropriate for Aphrodite. For example, Aphrodite can produce clothes of higher quality than other businesses.

CASE STUDY EXTRACT

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

DATA FOR QUESTION 7

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

Using the information in Figure 2, identify the UK supermarket with a larger market share than Sainsbury's.

MARK SCHEME ANSWER

Tesco (1)

Which one of the following is a definition of market share?

- A. Market research that can be collected and analysed
- B. The proportion of sales in a market made by one business
- C. The total amount of money from business sales
- D. A group of people who discuss their views on a product

MARK SCHEME ANSWER

The only correct answer is B - The proportion of sales in a market made by one business. A is not correct because it is a definition of market research data. C is not correct because it is a definition of revenue. D is not correct because it is a definition of a focus group.

Explain one benefit to a small business from having a unique selling point.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. A unique selling point will give a small business a competitive advantage (1). This would make customers more likely to buy from the business rather than from the competition (1). This means the business will benefit from increased market share (1). A unique selling point will allow a small business to add value (1). This means it should be able to operate profitably (1), which reduces the chance of business failure (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

Explain one advantage to a small business of using market mapping.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Market mapping will allow a small business to spot a gap in the market (1). This can lead to the business developing a product/service to help fill this gap (1). As a result, the small business may capture market share from competition (1). Market mapping can help a small business analyse its competitors (1). This may help the business when making business decisions (1). This may lead to a reduced risk of failure (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

Discuss how the decision making of a small business may be affected by increased competition.

MARK SCHEME ANSWER

Indicative content: Increased competition will affect how a small business decides what price to charge (AO1b). Increased competition will affect location decisions for a small business (AO1b). Therefore, a small business may decide to use a competitive pricing strategy to maintain market share (AO3a). Therefore, a small business may decide not to locate in an area where there is lots of competition as it will find it difficult to attract customers (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Stand up paddleboarding is a sport which is similar to surfing but the riders use a paddle whilst standing on the board. Joe Thwaites opened Loco in 2012 as he spotted a gap in the market manufacturing stand up paddleboards (SUPs). Joe felt that he could compete using innovative designs and by changing the shape of the SUPs he made. He spent a few weeks in Fuerteventura, Spain, working with professional SUP riders where he developed designs for three Loco boards. Since then Loco has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships. Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that Loco can compete against larger manufacturers. (Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

DATA FOR QUESTION 7

Table 3 shows the interest rate paid on savings between 2014 and 2017. 2014: 1.49%; 2015: 1.40%; 2016: 1.25%; 2017: 1.00%.

Evaluate the extent to which Loco will be able to compete with large manufacturers of SUPs. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Loco will be able to compete because its flexibility will help meet customer needs (AO1b). The larger manufacturers already have existing market share and position (AO1b). The owner of Loco was able to be innovative in designing new SUPs after working with professional SUP riders in Fuerteventura (AO2). Stand up paddle boarding is not a mass market sport so has relatively low numbers of participants (AO2). The flexibility of the business may allow it to make individual changes to its products as requested by its customers. Larger manufacturers may not be able to do this as the SUPs are manufactured in larger batches, or in bulk. This may be important to professional SUP riders who want bespoke products. If professional riders select Loco products, then the brand of the business will grow and become attractive to other customers (AO3a). The size of the market makes it difficult for new brands to become established. Large manufacturers benefit from economies of scale and can make it difficult for new businesses to compete on price. They will have lower average costs and will benefit from spending more money on marketing (AO3a). However, this will depend on how much the design process and time spent creating the new boards will increase the average costs of making the SUPs. This may therefore lead to higher prices. This may not affect the professional riders but will make it difficult for other riders to buy the SUPs. This could therefore discourage them from buying Loco boards rather than those of the larger manufacturers (AO3b). However, the competitive nature of paddle boarding means that customers may look to buy the best equipment. The large manufacturers may find it difficult to compete with smaller businesses like Loco because Joe can offer personal help and advice to customers when buying their equipment. This personal touch may not be able to be directly given by a large manufacturer (AO3b). Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues,

including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Nov 2021 · Paper 2 · Q3(b) · \$A

Calculate

2 marks

DATA FOR QUESTION 3

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

Using the information in Figure 2, calculate the market share of Business E. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(100\% - 34.2\% - 23.8\% - 21.3\% - 12.5\%)$ (1). Answer: 8.2% (1). Award full marks for correct numerical answer without working.

June 2023 · Paper 1 · Q2(d) · \$A

Explain

3 marks

DATA FOR QUESTION 2

Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

Explain one way a small business could become more competitive.

MARK SCHEME ANSWER

Award 1 mark for identification of a way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could gain an advantage by charging lower prices (1). This would mean customers are more likely to buy the product because it is cheaper than other products (1). Therefore, this would attract customers from its competitors as they want to save money (1). A small business could improve the quality of the product (1). This would attract customers because they think they are getting a better product (1). As a result, the business would gain a better reputation than competitors (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

DATA FOR QUESTION 7

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019. Sony 2018: 42.5%, 2019: 36.5%. Facebook 2018: 19%, 2019: 28%. HTC 2018: 12.5%, 2019: 13%. Microsoft 2018: 3%, 2019: 0%. Others 2018: 21%, 2019: 21%.

Using Figure 5, identify the company that left the virtual reality headset market in 2019.

MARK SCHEME ANSWER

Microsoft

Explain one advantage to customers from increased competition.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage, up to a total of 3 marks. One advantage is that customers may pay less for products (1). This is because a business may reduce prices to become more competitive (1). This may lead to customers being able to buy more products (1). Customers will have more choice (1). This is because increased competition leads to more products being available in the market (1). Therefore, a customer will be able to buy products that fully meet their needs (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.